COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Statements of Financial Position

April 30, 2025 and 2024

Assets	2025	2024
Current assets:		
Cash and cash equivalents	$ 4,521,586	4,747,712
Other interest bearing deposits	973,370	735,570
Patient accounts receivable, net of contractual adjustments and estimated uncollectibles of $1,102,000 in 2025 and $1,482,000 in 2024	2,949,195	2,873,089
Other accounts receivable	650,655	305,258
Accrued interest receivable	8,282	5,729
Inventories	435,973	503,799
Prepaid expenses	239,439	189,133
Property taxes receivable	162,585	143,525
Estimated third-party payor settlements	3,063,910	395,000
Total current assets	13,004,995	9,898,815
Capital assets	40,792,280	38,348,356
Less accumulated depreciation	22,421,122	21,048,437
Net capital assets	18,371,158	17,299,919
Cash surrender value of variable annuities	1,264,364	1,204,904
	$ 32,640,517	28,403,638

(Continued)

COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Statements of Financial Position
(Continued)
April 30, 2025 and 2024

Liabilities and Net Position	2025	2024
Current liabilities:		
Current installments of:		
Long-term debt	$ 262,670	249,648
Lease obligations	228,558	202,665
Subscription liability	25,201	-
Accounts payable	1,533,028	441,937
Accrued expenses:		
Salaries, wages and benefits	587,343	677,659
Compensated absences and taxes	838,149	864,954
Interest	6,222	6,743
Advanced revenue - insurance proceeds	1,670,532	39,652
Estimated third-party payor settlements	71,495	126,185
Total current liabilities	5,223,198	2,609,443
Compensated absences and taxes, excluding current portion	371,178	374,271
Long-term debt, excluding current installments	2,583,902	2,846,571
Lease obligations, excluding current installments	486,828	645,786
Subscription liability, excluding current installments	89,287	-
Total long-term liabilities	3,531,195	3,866,628
Total liabilities	8,754,393	6,476,071
Net position:		
Net investment in capital assets	14,694,712	13,355,249
Restricted expendable	384,627	401,861
Unrestricted	8,806,785	8,170,457
Total net position	23,886,124	21,927,567
	$ 32,640,517	28,403,638

See accompanying notes to financial statements.

COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Statements of Revenues, Expenses and Changes in Net Position

Years Ended April 30, 2025 and 2024

	2025	2024
Operating revenues:		
Net patient service revenue	$ 25,795,686	23,054,191
Provision for bad debts	(919,287)	(954,417)
Net patient service revenue, less provision for bad debts	24,876,399	22,099,774
Retail pharmacy revenue	667,900	636,069
Assisted living - Meadowlark Pointe	2,476,599	2,534,156
Other revenue	270,981	188,241
Total operating revenues	28,291,879	25,458,240
Operating expenses:		
Salaries and wages	12,729,430	11,676,478
Employee benefits	2,746,571	3,016,897
Supplies and other	10,462,469	8,965,180
Depreciation	1,733,722	1,679,626
Total operating expenses	27,672,192	25,338,181
Operating income	619,687	120,059
Nonoperating revenues and expenses:		
Tax revenue	360,861	337,500
Grants - COVID-19 programs	-	15,927
Interest income	102,157	102,130
Interest expense	(215,569)	(151,585)
Change in cash surrender value	59,460	93,031
Gain on sale of capital assets	284,502	501,230
Noncapital grants and contributions	747,459	340,879
Total nonoperating revenues and expenses	1,338,870	1,239,112
Excess of revenues over expenses	1,958,557	1,359,171
Capital grants and contributions	-	46,569
Increase in net position	1,958,557	1,405,740
Net position, beginning of year	21,927,567	20,904,373
Prior period adjustment, application of GASB 101, compensated absences accrual adjustment	-	(382,546)
Net position, beginning of year as restated	21,927,567	20,521,827
Net position, end of year	$ 23,886,124	21,927,567

See accompanying notes to financial statements.

COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Statements of Cash Flows

Years Ended April 30, 2025 and 2024

Increase or Decrease in Cash and Cash Equivalents	2025	2024
Cash flows from operating activities:		
Cash received:		
Patients and third-party payors	$ 23,956,508	24,132,420
Other revenue	270,981	188,241
Cash paid to employees	(12,713,955)	(11,237,753)
Cash paid to suppliers and contractors	(10,169,256)	(10,875,851)
Net cash provided by operating activities	1,344,278	2,207,057
Cash flows from noncapital financing activities:		
Tax funds received	341,801	351,386
Noncapital grants and contributions received	747,459	340,879
Grants - COVID-19 programs	-	15,927
Net cash provided by noncapital financing activities	1,089,260	708,192
Cash flows from capital and related financing activities:		
Capital grants and contributions	-	46,569
Proceeds from issuance of long-term debt	-	360,000
Principal payments on long-term debt	(249,647)	(305,256)
Principal payments on lease obligations	(212,096)	(179,353)
Principal payments on subscription liability	(23,143)	-
Capital expenditures	(3,008,826)	(1,315,196)
Interest paid	(216,090)	(148,904)
Proceeds from sale of capital assets	1,188,334	599,696
Net cash used by capital and related financing activities	(2,521,468)	(942,444)
Cash flows from investing activities:		
Net withdrawals from variable annuities	-	69,897
Interest received	99,604	99,133
Net investments in other interest bearing deposits	(237,800)	(27,966)
Net cash provided (used) by investing activities	(138,196)	141,064
Net increase (decrease) in cash and cash equivalents	(226,126)	2,113,869
Cash and cash equivalents, beginning of year	4,747,712	2,633,843
Cash and cash equivalents, end of year	$ 4,521,586	4,747,712

(Continued)

COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Statements of Cash Flows
(Continued)
Years Ended April 30, 2025 and 2024

Reconciliation of Operating Income to Net Cash Provided by Operating Activities		2025	2024
Operating income	$	619,687	120,059
Adjustments to reconcile operating income to net cash provided by operating activities:			
Depreciation		1,733,722	1,679,626
Provision for bad debts		919,287	954,417
Decrease (increase) in:			
Patient accounts receivable		(995,393)	(1,075,809)
Other accounts receivable		(345,397)	51,717
Inventories		67,826	(100,015)
Prepaid expenses		(50,306)	27,252
Estimated third-party payor settlements		(2,668,910)	(184,400)
Increase (decrease) in:			
Accounts payable and withheld taxes		607,786	82,322
Accrued expenses:			
Salaries, wages and benefits		(90,316)	371,287
Compensated absences and taxes		(29,898)	170,036
Advanced revenue - insurance proceeds		1,630,880	39,652
Estimated third-party payor settlements		(54,690)	70,913
Net cash provided by operating activities	$	1,344,278	2,207,057

Supplemental Disclosures of Cash Flows Information

		2025	2024
Capital asset additions acquired with lease obligations	$	79,031	332,462
Capital asset additions acquired with subscription obligations		137,631	-
Capital asset additions in accounts payable		486,934	3,629

See accompanying notes to financial statements.

COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Net Patient Service Revenue

Years Ended April 30, 2025 and 2024

	2025			2024		
	Inpatient	Outpatient	Total	Inpatient	Outpatient	Total
Daily services revenue:						
Acute routine services	$ 1,052,370	-	1,052,370	1,306,121	-	1,306,121
Observation room	-	541,907	541,907	-	708,306	708,306
Skilled routine services	511,501	-	511,501	564,519	-	564,519
	1,563,871	541,907	2,105,778	1,870,640	708,306	2,578,946
Ancillary services revenue:						
Operating room	12,500	1,516,745	1,529,245	10,311	1,385,958	1,396,269
Anesthesiology	2,600	463,232	465,832	2,164	469,196	471,360
Radiology	264,215	6,027,189	6,291,404	228,782	5,298,871	5,527,653
Laboratory	368,223	2,987,253	3,355,476	405,343	2,881,290	3,286,633
IV therapy	-	348,866	348,866	-	352,568	352,568
Respiratory therapy	429,944	311,869	741,813	390,914	328,623	719,537
Physical therapy	224,436	1,558,716	1,783,152	299,616	1,648,063	1,947,679
Occupational therapy	191,396	244,108	435,504	208,569	201,345	409,914
Speech therapy	9,460	40,139	49,599	8,067	29,154	37,221
Massage therapy	-	8,150	8,150	-	8,990	8,990
Electrocardiology	12,837	258,621	271,458	17,098	301,037	318,135
Central supply	29,296	317,243	346,539	45,331	361,864	407,195
Pharmacy	375,350	2,443,607	2,818,957	440,425	2,509,662	2,950,087
Dietician consulting	-	23,855	23,855	-	28,060	28,060
Sleep study	-	163,024	163,024	636	158,071	158,707
Emergency room	(5,126)	1,900,145	1,895,019	-	1,812,178	1,812,178
Emergency room physicians	-	453,089	453,089	-	429,471	429,471
Cardiac rehabilitation	-	191,507	191,507	-	175,120	175,120
Home health	-	659,643	659,643	-	785,198	785,198
Hospice	-	1,066,918	1,066,918	-	1,141,071	1,141,071
Specialty clinic	-	3,253,856	3,253,856	-	2,109,921	2,109,921
Physicians' clinic	-	3,854,433	3,854,433	-	3,701,512	3,701,512
	1,915,131	28,092,208	30,007,339	2,057,256	26,117,223	28,174,479
Gross patient service revenue	$ 3,479,002	28,634,115	32,113,117	3,927,896	26,825,529	30,753,425
Charges forgone for services provided under charity care policy			105,929			126,165
			32,007,188			30,627,260
Contractual adjustments:						
Medicare and Medicaid			2,221,152			4,118,816
Commercial insurance and other			3,990,350			3,454,253
Total contractual adjustments			6,211,502			7,573,069
Net patient service revenue			$ 25,795,686			23,054,191

COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Expenses

Years Ended April 30, 2025 and 2024

	2025			2024		
	Salaries	Supplies and Other	Combined	Salaries	Supplies and Other	Combined
Professional care of patients:						
Nursing service	$ 2,386,149	886,528	3,272,677	2,181,518	799,785	2,981,303
Operating room	295,589	654,085	949,674	281,129	587,840	868,969
Anesthesiology	141,880	274,811	416,691	247,669	208,719	456,388
Radiology	389,287	669,509	1,058,796	342,697	534,168	876,865
Laboratory	374,521	595,311	969,832	264,336	742,091	1,006,427
IV therapy	84,308	30,651	114,959	82,184	38,638	120,822
Respiratory therapy	108,610	73,194	181,804	94,551	118,659	213,210
Physical therapy	485,059	244,213	729,272	476,524	279,757	756,281
Occupational therapy	121,902	20,718	142,620	99,326	30,327	129,653
Speech therapy	-	13,933	13,933	-	15,330	15,330
Massage therapy	7,332	942	8,274	549	907	1,456
Electrocardiology	7,020	18,336	25,356	8,992	23,530	32,522
Central supply	114,649	96,467	211,116	102,686	77,048	179,734
Pharmacy	209,071	955,151	1,164,222	171,133	895,937	1,067,070
Sleep study	2,613	27,086	29,699	3,086	26,504	29,590
Dietician consulting	48,728	32,069	80,797	14,088	21,795	35,883
Emergency room	199,303	110,230	309,533	172,051	99,944	271,995
Emergency room physicians	-	1,806	1,806	-	117,680	117,680
Cardiac rehabilitation	71,380	13,533	84,913	57,279	28,999	86,278
Home health	807,775	387,558	1,195,333	703,787	414,507	1,118,294
Hospice	185,488	111,523	297,011	167,299	112,699	279,998
Specialty clinic	294,273	1,187,955	1,482,228	304,278	593,223	897,501
Physicians' clinic	2,611,877	1,111,949	3,723,826	2,527,537	1,141,497	3,669,034
	8,946,814	7,517,558	16,464,372	8,302,699	6,909,584	15,212,283
Meadowlark Pointe	1,482,032	864,260	2,346,292	1,459,101	899,084	2,358,185
Retail pharmacy	-	371,723	371,723	-	328,855	328,855
Dietary services:						
Raw food	-	21,599	21,599	-	50,741	50,741
Other	154,526	102,105	256,631	151,162	61,003	212,165
	154,526	123,704	278,230	151,162	111,744	262,906
Balances carried forward	$ 10,583,372	8,877,245	19,460,617	9,912,962	8,249,267	18,162,229

(Continued)

COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Expenses

Years Ended April 30, 2025 and 2024

	2025			2024		
	Salaries	Supplies and Other	Combined	Salaries	Supplies and Other	Combined
Balances brought forward	$ 10,583,372	8,877,245	19,460,617	9,912,962	8,249,267	18,162,229
General services:						
Housekeeping	210,348	99,240	309,588	217,551	115,969	333,520
Laundry and linen service	4,643	49,769	54,412	7,385	43,769	51,154
Maintenance of plant	199,051	105,096	304,147	175,127	114,858	289,985
Operation of plant	-	199,534	199,534	-	195,479	195,479
	414,042	453,639	867,681	400,063	470,075	870,138
Administrative and general:						
Administration	277,175	858,322	1,135,497	184,249	435,306	619,555
Business office	562,891	461,074	1,023,965	475,797	432,759	908,556
Quality assurance	89,686	43,952	133,638	69,192	36,498	105,690
Insurance	-	256,735	256,735	-	293,080	293,080
Information technology	40,625	501,189	541,814	48,030	589,008	637,038
Marketing	74,643	134,178	208,821	45,314	109,626	154,940
Human resources	168,234	67,416	235,650	161,603	65,843	227,446
Medical records	472,675	1,532,155	2,004,830	325,552	1,277,713	1,603,265
Social services	46,087	23,135	69,222	53,716	22,902	76,618
	1,732,016	3,878,156	5,610,172	1,363,453	3,262,735	4,626,188
Depreciation	-	1,733,722	1,733,722	-	1,679,626	1,679,626
Totals	$ 12,729,430	14,942,762	27,672,192	11,676,478	13,661,703	25,338,181

Schedule 3

COZAD HOSPITAL DISTRICT NO. 2
D/B/A COZAD COMMUNITY HEALTH SYSTEM

Selected Operating Statistics - "Unaudited"

Years Ended April 30, 2025 and 2024

	2025	2024	Increase (Decrease)	Percentage Increase (Decrease)
Patient Days				
Acute	610	761	(151)	(19.8) %
Skilled "swing-bed"	431	506	(75)	(14.8)
	1,041	1,156	(226)	(19.6) %
Percentage Occupancy				
Based on 20 licensed beds	14.3 %	17.4	(3.1)	(17.8) %
Admissions and Discharges (acute only)				
Admissions	172	223	(51)	(22.9) %
Discharges	175	221	(46)	(20.8) %
Average Length of Stay, Hospital Acute Days	3.49	3.44	.05	1.5 %
Selected Special Medical Services Occasions of Services				
Operating room	4,972	4,512	460	10.2 %
Radiology	5,634	5,383	251	4.7 %
Laboratory	25,437	28,221	(2,784)	(9.9) %
Physical therapy	19,350	22,663	(3,313)	(14.6) %
Emergency	5,073	5,274	(201)	(3.8) %
Outpatient Routine Hours	3,347	3,769	(422)	(11.2) %

(Continued)